WAVERLEY GATEWAY GUIDE

Connecting International Capital

COLOMBIA

Latin America

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Bogotá and Bogotá-Región	Capital and largest economic centre; attracted 56 new foreign investment projects worth $456 million in H1 2026, close to half of the national total	Financial services, business services, technology, manufacturing
Medellín and Antioquia	Second city and a recognised innovation and industrial hub, with an established metro operator now issuing sustainable bonds	Technology, manufacturing, textiles, energy, infrastructure
Caribbean coast (Cartagena, Barranquilla, Santa Marta)	Main Caribbean port cluster serving Atlantic trade routes, with refining and free-trade-zone infrastructure	Port logistics, petrochemicals, tourism, free-zone manufacturing
La Guajira and the Caribbean offshore	Home to the Sirius offshore gas discovery being developed by Ecopetrol and Petrobras, and to strong wind resources	Natural gas, renewable energy, transmission
Llanos Orientales (Meta, Casanare)	Core onshore oil-producing region and focus of the new government's plan to restart exploration	Oil and gas, oilfield services, agribusiness
Cali, Valle del Cauca and Buenaventura	Pacific gateway: Buenaventura is the country's main Pacific port, linking Colombia to Asian markets	Agro-industry, logistics, food processing
Coffee Region (Pereira, Manizales, Armenia)	Heartland of coffee production and the focus of a private-sector-backed reconstruction programme after the August 2026 earthquake	Coffee, construction, housing, agro-tourism

INVESTOR ENTRY ROUTES

- ProColombia (Invest in Colombia), the national investment promotion agency, provides facilitation, sector intelligence and its 2026 Legal Guide for Doing Business in Colombia
- General Foreign Investment Regime: registering foreign capital with Banco de la República secures access to the foreign exchange market to remit profits and divestment proceeds, with no tax or fee on the capital transfer itself
- Free trade zones offering a preferential 20% income tax rate (against the 35% general rate) for industrial users that meet the export targets in an agreed internationalisation plan
- Established concession and public–private partnership (PPP) framework for transport, ports, energy transmission and social infrastructure, which the new administration is expected to accelerate

- Hydrocarbons participation through exploration and production contracts and partnership with majority state-owned Ecopetrol, as the new government restarts oil and gas exploration
- Free-floating peso managed by Banco de la República, which launched a reserve accumulation programme of up to $4 billion in August 2026 after strong peso appreciation
- Treaty-based protection through investment chapters in Colombia's trade agreements, including the 2012 US–Colombia Trade Promotion Agreement, and continued ICSID membership

MARKET-ENTRY OBSERVATION

Colombia in October 2026 is regaining growth momentum under a new, explicitly pro-investment government. GDP grew 2.6% in 2025 and accelerated to 3.5% year-on-year in Q2 2026 (1.3% quarter-on-quarter), with fixed investment up 7.0%, taking first-half growth to 2.9%. Foreign direct investment totalled $11.5 billion in 2025 (about 2.5% of GDP), and balance-of-payments data showed a strong start to 2026, with Q1 inflows of $3.8 billion, up 34.4% year-on-year and led by non-extractive sectors, although monthly flow data point to a softer first half. President Abelardo De La Espriella, inaugurated on 7 August 2026, has pledged to restart oil and gas exploration, permit fracking, broaden the tax base and strengthen security, and Colombian bonds strengthened after his election. The peso appreciated around 17% in the first seven months of 2026, prompting Banco de la República to begin accumulating up to $4 billion in additional reserves.

Colombia's principal structural challenge is fiscal consolidation. The 2026 deficit target was raised to 5.3% of GDP, with some private estimates higher, net debt is projected at 58.9% of GDP against a legal ceiling of 71%, and S&P (BB-), Fitch (BB) and Moody's (Baa3) all lowered their ratings between June 2025 and April 2026. Inflation reached 6.29% in September 2026, and the central bank raised its policy rate to 12.25% to bring it back toward its 2–4% target range. The new administration has made consolidation an early priority, with Finance Minister Miguel Gómez Martínez engaging international banks and multilateral lenders to extend maturities and lower borrowing costs. For investors, this combination of a reform-minded government, a credible and independent central bank, a strong currency and a deep PPP pipeline creates an attractive entry point ahead of any improvement in ratings and financing conditions.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Fiscal deficit and sovereign ratings	Deficits above 5% of GDP and recent downgrades raise government borrowing costs and could tighten scrutiny of PPP payment commitments	Structure projects with multilateral or export-credit support; the new government's consolidation and refinancing agenda offers potential upside as ratings stabilise
Inflation and high interest rates	Inflation of 6.29% and a 12.25% policy rate increase local financing costs	Banco de la República's independent, proactive stance supports disinflation; investors with hard-currency funding can benefit from a strong peso and future easing
Security and illegal economies	Armed groups, extortion and illegal mining affect some regions, and the new government is ending peace talks in favour of a stronger security response	Conduct location-specific security assessments and community engagement; improved territorial control would open new areas for agriculture, mining and energy
US tariff of 12.5% on some exports	Since 24 July 2026, flowers, apparel, confectionery and cosmetics face an additional US duty, while coffee, bananas, crude oil and coal are exempt	Diversify toward the EU, which took 12.4% of exports in 2025 and grew 20.7%; the government has requested a suspension of the duty
Policy shifts in energy and mining	The previous government halted new exploration licences and created a large Amazon reserve, and Colombia faces 29 known investor–state cases	The new government is reversing the exploration freeze; use treaty-protected structures and contractual stabilisation clauses where available
August 2026 earthquake	The magnitude 7.4 quake in western Colombia caused around 300 deaths and preliminary losses of about $9.6 billion	A reconstruction plan backed by the private sector creates opportunities in housing, construction materials and resilient infrastructure

Issue	Potential Impact	Possible Mitigation
Political polarisation	The June 2026 runoff was decided by less than 1%, and the outgoing president questioned the result	Colombia's long record of constitutional transitions and independent institutions supports continuity; monitor congressional dynamics for reform timing

INVESTOR RISK NOTE

Colombia's risk profile combines one of Latin America's most diversified economies, a long tradition of macroeconomic institutions and a new government strongly committed to private investment. Growth is accelerating, investment is rising, and the peso has strengthened markedly in 2026, giving foreign investors favourable entry conditions. The main issues are well understood: a fiscal deficit that the new administration has made a priority to reduce, inflation that an independent central bank is actively addressing, regional security challenges that the government is confronting directly, and post-earthquake reconstruction in the Coffee Region. Treaty protection under Colombia's trade agreements, the free-trade-zone regime and multilateral co-financing provide practical mitigation. Investors should build fiscal and interest-rate scenarios into project economics, conduct location-specific security due diligence and track early reform delivery, which would offer meaningful upside if consolidation lifts the sovereign's ratings.

MARKET ACCESS

Colombia is a WTO member, has been an OECD member since 2020, and holds one of the region's broadest trade-agreement networks, including the 2012 US–Colombia Trade Promotion Agreement, a trade agreement with the European Union, the UK–Andean agreement, and membership of the Pacific Alliance and the Andean Community. Exports reached $50.2 billion in 2025, up 1.3%, with the United States taking 29.6%, the European Union 12.4% and Panama 7.3%; agricultural and food exports grew 33.2%, led by coffee, while non-monetary gold also rose. With ports on both the Caribbean and the Pacific, Colombia is uniquely positioned to serve Atlantic and Asia–Pacific markets, and its growing EU trade provides a valuable diversification channel alongside the US relationship.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Abelardo De La Espriella)	Sets the new government's agenda of restarting hydrocarbons exploration, fiscal consolidation and security	Primary reference point for understanding Colombia's strategic and reform direction
ProColombia (Invest in Colombia)	National agency promoting investment, exports and tourism	Standard first point of contact for market entry, sector intelligence and facilitation
Banco de la República	Independent central bank; sets monetary policy, manages reserves and registers foreign investment	Relevant for currency, financing conditions and foreign-investment registration
Ministry of Finance and Public Credit (Miguel Gómez Martínez)	Leads fiscal consolidation, debt refinancing and tax policy	Key counterpart for understanding fiscal direction and the PPP and concession environment
Ecopetrol	Majority state-owned oil company, expected to lead upstream expansion and partner on projects such as Sirius gas	Essential partner for oil, gas and energy-transition engagement
Agencia Nacional de Hidrocarburos (ANH)	Regulator that awards and administers oil and gas exploration and production contracts	Relevant for upstream entry as exploration is restarted
Agencia Nacional de Infraestructura (ANI)	Structures and manages national transport concessions and PPPs	Key counterpart for road, port, airport and rail infrastructure opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

Foreign investors can engage through ProColombia, which runs investor services and sector outreach, and through city-level agencies such as Invest in Bogotá. The Colombo-British Chamber of Commerce, AmCham Colombia and the National Business Association of Colombia (ANDI) provide practical business intelligence and access to established local partners. The Inter-American Development Bank, the World Bank Group including IFC, and CAF (the Development Bank of Latin America and the Caribbean) maintain active programmes in infrastructure, energy and private-sector development, and are natural co-financing partners as the new government seeks to refinance debt and expand concessions. Ecopetrol and the major international energy companies operating in Colombia are useful sources of insight on the upstream reopening.

INVESTOR PROFILE BEST SUITED

Colombia suits a broad range of investors seeking exposure to a large, diversified Latin American market with a new pro-investment government: oil and gas investors positioned for the restart of exploration and offshore gas development; infrastructure and PPP investors, particularly those with multilateral co-financing; construction and building-materials investors supporting reconstruction in the Coffee Region; manufacturing and logistics investors using free-trade-zone incentives and Caribbean and Pacific port access; and technology, business-services and agribusiness investors building on Bogotá's and Medellín's talent base and strong coffee and agricultural exports. Investors with hard-currency funding are well placed to benefit from the stronger peso.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage ProColombia and register investment with Banco de la República
Use ProColombia for facilitation and sector guidance, and register foreign capital with the central bank to secure profit and divestment remittance rights.

STEP 2: Track the new government's early reforms
Follow the fiscal consolidation plan, tax-base measures and debt refinancing led by the Ministry of Finance, which will shape ratings and financing costs.

STEP 3: Position for the hydrocarbons and gas reopening
Open dialogue with Ecopetrol and the ANH on exploration opportunities and partnerships as new licensing resumes.

STEP 4: Evaluate free-trade-zone and PPP structures
Assess the 20% free-zone tax rate for export-oriented projects and the ANI concession pipeline, ideally with multilateral co-financing.

STEP 5: Build security and macro scenarios into planning
Conduct location-specific security due diligence and model interest-rate, inflation and currency scenarios for projects with local-currency exposure.